

Paradiem

The Morning Brief

AUGUST 11, 2026

Hormuz Repricing

Crude rallies 6.7% and equities fade as the Hormuz framework collapses into CPI eve.

S&P 500 (MON CLOSE)	WTI (USO MON)	ENERGY (XLE MON)	BITCOIN (IBIT MON)	FEAR & GREED (CNN)
\$773.03 · ↓0.03%	\$125.92 · ↑6.73%	\$60.18 · ↑4.66%	\$36.23 · ↓1.55%	64 · Greed

SECTION 01

Markets — Crude Reasserts as the Hormuz Framework Fades

A 6.7% CRUDE RALLY REWRITES THE CPI-EVE SETUP

Monday delivered the crude repricing that the weekend Jazan strike, Iran’s six-point demand list, and the fading Oman corridor framework had built up. Per data drop, USO closed ↑6.73% at \$125.92 and BNO closed ↑6.78% at \$50.11, with natural gas (UNG) ↑4.11%; the equity tape faded as Hormuz deal expectations collapsed, with the S&P 500 essentially flat at \$773.03 (↓0.03%), Nasdaq ↓0.30%, and Russell 2000 ↓0.52% per data drop. Per Reuters coverage, Gulf shipping traffic through the Strait of Hormuz fell to six vessels on Monday, a physical read on the fading-framework narrative. The FCI energy sleeve took the leadership tape: CVX ↑4.48%, OKE ↑4.54%, NTR ↑2.93%, LMT ↑2.59%, with XLE closing ↑4.66% per data drop. The mirror trade was the AI-semi and mining complex — MRVL ↓4.65%, CRDO ↓3.98%, QCOM ↓3.39%, NVDA ↓2.86%, AMD ↓2.85%, MARA ↓5.25%, HUT ↓3.31% — a rotation the tape has rehearsed before but rarely with this pairing intensity. S&P futures were modestly higher into the Tuesday open per Reuters and CNBC coverage (S&P E-minis +0.14%, Nasdaq futures +0.12%), a subdued rebound that leaves the CPI print Wednesday as the single largest re-rating catalyst on the calendar.

S&P 500 (SPY MON)	\$773.03 · ↓0.03%
NASDAQ (MON)	\$720.87 · ↓0.30%
WTI (USO MON)	\$125.92 · ↑6.73%
BRENT (BNO MON)	\$50.11 · ↑6.78%
GOLD (GLD MON)	\$402.54 · ↑1.02%
TLT (20Y MON)	\$82.06 · ↓0.85%
JULY CPI	Wed Aug 12 · 8:30 AM ET per BLS

FED REACTION FUNCTION MEETS A RE-RATED CRUDE COMPLEX

The CPI print Wednesday, August 12 at 8:30 AM ET per BLS release calendar arrives against a materially different

backdrop than the one prior briefs framed. Per Morningstar and TradingKey preview coverage, consensus is anchored near +0.2% MoM headline and +0.2% MoM core, with headline YoY easing to roughly 3.4% from 3.5% and core near 2.5%. The Monday crude tape re-injects the pass-through vector that the July labor print had softened; TLT closing ↓0.85% at \$82.06 with the long bond selling underneath the equity fade is a bond market that has already begun to price a wider dispersion of CPI outcomes. Per prior briefs anchored on CBS and CNBC coverage of the post-NFP re-price, CME FedWatch September Fed hike odds sat near 44% and October near 55%; a hotter core reading would compress that dovish reset in a session with UVXY at \$21.63 (near 2026 lows). The FCI dividend sleeve retains higher-duration positioning

through NEE, ATO, and CEG, while the AI-power thesis and precious-metals exposure (AEM ↑0.93% Monday, GLD ↑1.02%) provide the two-tailed hedge into the print.

Composition matters more than the headline — services ex-energy is the read to watch.

A 6.7% crude session into a CPI print already priced for disinflation is an asymmetric setup, not a balanced one. Avoid erosion.

SECTION 02

Geopolitics — Hormuz Framework Collapses, Trump's Turkey Ruse Surfaces

WASHINGTON POST: TRUMP USED A DECOY AIR FORCE ONE TO LEAVE TURKEY AMID IRANIAN THREAT

Per Washington Post reporting captured across Reuters, US News, and Yahoo News on Monday, President Trump departed Turkey following the NATO summit on a clandestine military flight while the White House publicly maintained he was aboard the newly renovated Qatari-donated Air Force One, which was flown as a decoy. Per the same coverage, the operation was carried out unbeknownst to journalists and some White House staff members, with press-cabin windows shaded and staff advised the president was on board. The Washington Post links the ruse to an active Iranian assassination threat and reports the operation followed a night of renewed US military strikes on Iran at Trump's direction after a breakdown in negotiations. The disclosure contradicts prior public statements and materially changes the read on the diplomatic posture: what the market had been trading as a corridor negotiation now sits alongside a confirmed military-strike sequence and an active kinetic threat vector against the president. For FCI defense-sleeve positioning (LMT, GD), the disclosure reinforces the Pentagon's 21-day accelerated munitions memo captured in prior briefs; LMT closed ↑2.59% Monday per data drop.

HORMUZ TRAFFIC FALLS TO SIX VESSELS AS US-IRAN DEAL HOPES DIM

Per Reuters headlines captured in the data drop, Gulf shipping traffic through the Strait of Hormuz fell to six vessels on Monday, and Wall Street ended down as expectations of a Hormuz deal faded. Per Reuters coverage, Iran indicated its talks with Oman on a shipping route were nearing agreement but continued to resist direct negotiations with the US until the six-point precondition list from the weekend was addressed, and characterized any arrangement as unlikely to lead to an immediate reopening. The sequence — weekend six-point list, Jazan refinery strike, Monday crude ↑6.7%, Monday shipping traffic at six vessels, Trump decoy-flight disclosure — is the physical and diplomatic read behind the commodity move. Per Reuters, the crude rally left Brent trading near one-week highs. For the FCI energy sleeve (CVX, CNX, OKE), the transmission channel is now direct: Monday marked the second discrete supply-side shock (Jazan)

layered on top of the transit-friction baseline that has framed the crude tape since late February.

REGIONAL READ: YEMEN THEATER AND GAZA FRAMEWORK REMAIN LIVE

The Jazan refinery strike and Mokha Red Sea port attacks captured in yesterday's brief have not been followed by a clear de-escalation signal. Per NBC and Al Jazeera coverage carried over the weekend, Yemen sits at its greatest large-scale-conflict risk since the April 2022 UN-brokered truce. Separately, per CNN and NBC coverage from the weekend, the public split between Netanyahu and Trump on the 15-point Gaza framework remains unresolved ahead of Israel's October 27 election, with disarmament sequencing the operative sticking point. Taken together, the Middle East theater carries three simultaneous live threads — Hormuz corridor, Yemen ground, Gaza framework — each contributing independently to the crude complex bid and the defense-sleeve tape. If the Turkey-flight disclosure begins to inform a broader public

appraisal of the US-Iran military posture, the vol response into and after CPI would carry more weight than the print composition alone.

SECTION 03

On Our Radar

1. July CPI Wednesday — Preview and What to Watch. The July CPI print lands Wednesday, August 12 at 8:30 AM ET per BLS release calendar. Per Morningstar and TradingKey preview coverage, consensus is anchored near +0.2% MoM headline and +0.2% MoM core, with headline YoY easing to roughly 3.4% from 3.5% and core near 2.5%. The composition read is where the crude re-price tends to show up first: services ex-energy is the line item to watch, alongside airline fares and gasoline pass-through. Per prior briefs, CME FedWatch September hike odds sat near 44% and October near 55% following the July NFP re-price; a hotter core print would compress that dovish reset materially against a UVXY reading of \$21.63 (near 2026 lows). PPI Thursday and Retail Sales, Industrial Production, and preliminary Consumer Sentiment Friday complete the macro window. FCI positioning does not react to individual prints, but composition — not the headline — carries the reaction-function weight.

2. Cisco (CSCO) Reports After the Close Wednesday, With AI-Networking Read-Across. Per Alphastreet coverage captured in prior briefs, Cisco reports fiscal Q4 after the close Wednesday, August 12 with consensus anchored near \$1.17 EPS and approximately \$16.8B revenue. The read-across into FCI AI-networking exposure is direct: Cisco's Ethernet and AI-fabric commentary informs the setup for CRDO, MRVL, TSM, and NVDA into the balance of earnings season. Monday's tape did the semi complex no favors — MRVL ↓4.65%, CRDO ↓3.98%, QCOM ↓3.39%, NVDA ↓2.86%, AMD ↓2.85%, NXPI ↓2.62% per data drop — a rotation the tape has priced into cyclical strength (energy) rather than a fundamental repricing of the AI capex thesis. Cisco's guide should inform whether the semi weakness was a positioning artifact or a leading signal. Applied Materials and Deere follow later in the week.

3. Bitcoin ETF Flows Absorbed by Overhead Supply, Miner Bifurcation Deepens. Per KuCoin and CoinDesk coverage of the flow tape, Bitcoin and Ethereum ETFs took in approximately \$1.1B in net inflows during the week of August 3–7, with BlackRock's IBIT accounting for roughly \$693.5M (~80% of Bitcoin ETF inflows) and Ethereum ETFs capturing roughly \$244M — one of the strongest weekly reads in months. Despite the inflow strength, Bitcoin and Ethereum have not extended out of their recent trading ranges per CoinDesk coverage, a read consistent with overhead supply absorbing the institutional bid rather than a genuine breakout. The miner tape confirms the bifurcation: MARA ↓5.25% and HUT ↓3.31% Monday per data drop, with Yahoo coverage flagging MARA's Q2 disclosure that it sold approximately \$1.6B of Bitcoin in H1 to cut debt and fund infrastructure. For FCI positioning through IBIT and ETHA, the inflow persistence remains the dominant read; the miner sleeve continues to underperform the ETF flow signal.

4. Energy Leadership vs. Semi Weakness — Rotation Read Off the Monday Tape. Monday's FCI top movers per data drop — OKE +4.54%, CVX +4.48%, NTR +2.93%, FTNT +2.86%, LMT +2.59% — capture the energy-industrial-defense rotation that the crude repricing pulled into leadership, with cybersecurity (FTNT) benefiting from adjacent Iran-related tape per Yahoo coverage of the Palo Alto and CrowdStrike surge. The bottom five — MARA –5.25%, MRVL –4.65%, CRDO –3.98%, QCOM –3.39%, HUT –3.31% — capture the semi-and-miner mirror. The XLE +4.66% vs XLK –0.88% sector split per data drop reads as a rotation, not a broad de-risking event; the S&P's essentially flat close on that internal composition is the read to carry into the Tuesday open. The setup tests whether that leadership persists through the CPI print or reverses if the print reads cool enough to reassert the labor-softening thesis over the crude-driven services vector.

5. Carson's SPY \$645.80 Support Remains Active; No Levels Hit Monday. Per levels.json, Carson's active SPY support at \$645.80 remains untouched through Monday's \$771.62–\$775.05 S&P 500 intraday range per data drop and now sits approximately 16.5% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With the Hormuz framework collapsing into a discrete crude repricing, the Trump Turkey-flight disclosure surfacing an active kinetic threat vector, CPI landing Wednesday, and Cisco reporting Wednesday after the close, the pre-committed deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any single-day gap.

For internal FCI investment committee use only. Not investment advice. Information from public sources believed reliable. Past performance not indicative of future results. FCI is an RIA under Paradiem.